

DIAMOND TRUST BANK KENYA LIMITED
UNAUDITED GROUP AND BANK RESULTS FOR THE PERIOD ENDED 30 JUNE 2016

STATEMENT OF FINANCIAL POSITION	GROUP				BANK			
	Jun. 2016 Shs 000 Unaudited	Mar. 2016 Shs 000 Unaudited	Dec. 2015 Shs 000 Audited	Jun. 2015 Shs 000 Unaudited	Jun. 2016 Shs 000 Unaudited	Mar. 2016 Shs 000 Unaudited	Dec. 2015 Shs 000 Audited	Jun. 2015 Shs 000 Unaudited
ASSETS								
Cash (both local and foreign)	4,448,596	4,596,013	4,325,186	5,293,055	2,274,749	2,415,974	2,208,872	2,951,032
Balances due from Central Banks	21,498,371	19,631,636	22,024,966	14,345,373	11,779,528	10,482,408	12,369,273	6,431,089
Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
Investment Securities:								
(a) Held to Maturity:								
a. Kenya Government securities	63,582,851	48,940,232	34,310,709	23,527,633	63,582,851	48,940,232	34,310,709	23,527,633
b. Other securities	15,020,208	13,075,635	12,756,206	11,346,040	-	-	-	-
(b) At Fair Value:								
a. Kenya Government securities	-	-	-	-	-	-	-	-
b. Other securities	-	-	-	-	-	-	-	-
Deposits and balances due from local banking institutions	237,600	234,535	3,106,403	1,202,704	237,600	234,535	3,106,403	1,202,704
Deposits and balances due from banking institutions abroad	6,839,238	8,834,111	6,911,078	5,946,977	2,525,160	3,819,124	1,867,334	1,130,727
Income tax recoverable	162,557	90,947	6,206	123,813	-	-	-	-
Loans and advances to customers (net)	178,526,591	179,769,225	177,544,871	161,988,598	128,364,328	128,167,235	125,817,859	113,242,826
Balances due from group companies	-	-	-	-	168,757	227,640	227,794	275,107
Investments in associate	21,307	22,784	24,077	17,704	1	1	1	1
Investment in subsidiary companies	-	-	-	-	4,544,025	3,392,468	3,392,467	2,295,253
Investments in joint ventures	-	-	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-	-	-
Property and equipment	5,019,686	5,136,741	5,618,767	4,956,561	3,518,954	3,543,276	3,996,431	3,498,694
Prepaid lease rentals	-	-	-	-	-	-	-	-
Intangible assets	1,163,075	1,080,084	595,492	528,148	901,960	870,009	386,186	325,685
Goodwill	173,372	173,372	173,372	173,372	-	-	-	-
Deferred tax asset	2,133,069	1,709,390	1,735,405	1,348,115	1,859,187	1,430,461	1,430,461	1,178,285
Retirement benefit asset	-	-	-	-	-	-	-	-
Other assets	3,089,445	2,590,843	2,475,859	3,255,513	2,388,664	1,956,986	1,834,113	1,971,075
Total Assets	301,915,966	285,885,548	271,608,597	234,053,606	222,145,764	205,480,349	190,947,903	158,030,111
LIABILITIES								
Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
Customer deposits	216,114,485	205,969,037	194,051,857	173,303,867	150,259,739	138,956,150	126,228,706	109,545,211
Deposits and balances due to local banking institutions	8,061,500	6,586,687	4,447,675	428,357	8,061,500	6,586,687	4,447,675	428,357
Deposits and balances due to banking institutions abroad	7,663,336	5,247,327	3,958,723	1,349,938	7,005,865	4,362,591	3,701,729	1,139,423
Other money market deposits	-	-	-	-	-	-	-	-
Borrowed funds	24,791,852	23,644,990	26,141,690	20,010,333	21,533,136	20,392,335	23,076,632	16,723,261
Balances due to group companies	-	-	-	-	-	-	-	-
Current income tax payable	346,451	924,797	291,958	84,238	326,882	896,432	239,276	40,046
Dividends payable	-	-	-	-	-	-	-	-
Deferred income tax liability	-	-	-	-	-	-	-	-
Retirement benefit liability	-	-	-	-	-	-	-	-
Other liabilities	4,033,919	4,265,779	4,411,306	4,414,763	2,599,521	3,069,496	3,257,684	2,617,240
Total Liabilities	261,011,543	246,638,617	233,303,209	199,591,496	189,786,643	174,263,691	160,951,702	130,493,538
Total comprehensive income for the period								
Paid up capital	968,440	968,440	968,440	968,440	968,440	968,440	968,440	968,440
Share premium	7,294,767	7,294,767	7,294,767	7,294,767	7,294,767	7,294,767	7,294,767	7,294,767
Revaluation reserve	(589,344)	(268,235)	(27,970)	(132,491)	366,854	366,854	366,854	367,703
Retained earnings	27,818,769	25,320,552	25,293,925	22,873,015	23,729,060	21,981,322	20,760,865	18,905,663
Statutory loan loss reserve	852,614	1,241,563	-	-	-	-	-	-
Proposed dividends	-	605,275	605,275	-	-	605,275	605,275	-
Capital grants	-	-	-	-	-	-	-	-
Total Shareholders' Equity	36,345,246	35,162,362	34,134,437	31,003,731	32,359,121	31,216,658	29,996,201	27,536,573
Non controlling interests	4,559,177	4,084,569	4,170,951	3,458,379	-	-	-	-
Total Equity	40,904,423	39,246,931	38,305,388	34,462,110	32,359,121	31,216,658	29,996,201	27,536,573
Total Liabilities and Shareholders' Equity								
Equity	301,915,966	285,885,548	271,608,597	234,053,606	222,145,764	205,480,349	190,947,903	158,030,111

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE PERIOD ENDED 30 JUNE 2016**

	GROUP				BANK			
	Jun. 2016 Shs 000 Unaudited	Mar. 2016 Shs 000 Unaudited	Dec. 2015 Shs 000 Audited	Jun. 2015 Shs 000 Unaudited	Jun. 2016 Shs 000 Unaudited	Mar. 2016 Shs 000 Unaudited	Dec. 2015 Shs 000 Audited	Jun. 2015 Shs 000 Unaudited
INTEREST INCOME								
Loans and advances	12,329,511	6,199,905	21,347,025	9,593,514	8,967,109	4,481,683	15,264,261	6,804,606
Government securities	4,175,876	1,864,315	4,213,348	2,000,017	3,087,658	1,327,853	2,573,450	1,190,963
Deposits and placements with banking institutions	224,414	127,348	264,806	117,494	171,861	103,515	186,779	83,264
Other interest income	-	-	-	-	3,632	1,857	8,687	4,432
Total interest income	16,729,801	8,191,568	25,825,179	11,711,025	12,230,260	5,914,908	18,033,177	8,083,265
INTEREST EXPENSES								
Customer deposits	6,478,444	3,268,853	9,674,934	4,462,948	4,824,116	2,423,834	6,674,287	3,000,822
Deposits and placements from banking institutions	211,050	100,807	222,914	80,766	150,904	64,526	122,012	49,419
Other interest expenses	472,244	244,452	737,124	299,773	407,273	207,570	579,686	225,720
Total interest expenses	7,161,738	3,614,112	10,634,972	4,843,487	5,382,293	2,695,930	7,375,985	3,275,961
NET INTEREST INCOME	9,568,063	4,577,456	15,190,207	6,867,538	6,847,967	3,218,978	10,657,192	4,807,304
OTHER OPERATING INCOME								
Fees and commissions on loans and advances	536,879	269,032	993,053	469,931	347,938	169,769	598,773	295,277
Other fees and commissions income	976,294	482,898	1,780,830	837,911	448,849	210,506	818,936	366,754
Foreign exchange trading income	895,683	389,714	1,763,096	960,562	657,106	267,480	1,060,551	588,606
Dividend income	-	-	-	-	58,076	-	33,300	33,301
Other income	100,648	38,868	188,847	100,130	59,041	17,381	108,079	48,845
Total Non-Interest Income	2,509,504	1,180,512	4,725,826	2,368,534	1,571,010	665,136	2,619,639	1,332,783
TOTAL OPERATING INCOME	12,077,567	5,757,968	19,916,033	9,236,072	8,418,977	3,884,114	13,276,831	6,140,087
OPERATING EXPENSES								
Loan loss provision	2,190,674	886,405	2,178,175	626,616	1,496,281	631,861	1,556,902	398,671
Staff costs	1,779,367	959,984	3,261,135	1,577,593	1,055,029	583,256	1,974,328	915,373
Directors' emoluments	57,903	27,408	98,882	45,589	32,950	14,822	56,257	26,219
Rentals charges	315,192	165,065	542,940	262,765	143,765	78,914	261,308	129,974
Depreciation charge on property and equipment	418,292	204,736	772,335	376,168	248,793	121,809	465,384	224,629
Amortisation charges	123,085	60,058	213,844	111,046	81,326	40,293	142,659	74,660
Other operating expenses	1,936,277	983,358	3,282,087	1,569,818	1,044,698	535,537	1,765,186	922,924
Total operating expenses	6,820,790	3,287,014	10,349,398	4,569,595	4,102,842	2,006,492	6,222,024	2,692,450
Profit before tax and exceptional items	5,256,777	2,470,954	9,566,635	4,666,477	4,316,135	1,877,622	7,054,807	3,447,637
Exceptional items	-	-	-	-	-	-	-	-
Profit after exceptional items	5,256,777	2,470,954	9,566,635	4,666,477	4,316,135	1,877,622	7,054,807	3,447,637
Share of associate profit /(loss) after tax	3,158	2,700	(1,443)	3,328	-	-	-	-
Profit before tax	5,259,935	2,473,654	9,565,192	4,669,805	4,316,135	1,877,622	7,054,807	3,447,637
Current tax	(2,066,792)	(865,182)	(3,470,859)	(1,530,046)	(1,776,671)	(657,168)	(2,637,978)	(1,238,262)
Deferred tax credit	428,726	-	505,473	114,717	428,726	-	376,022	123,845
Profit after tax and exceptional items	3,621,869	1,608,472	6,599,806	3,254,476	2,968,190	1,220,454	4,792,851	2,333,220
Non controlling interests	244,411	134,961	687,724	314,036	-	-	-	-
Profit for the period after tax and non controlling interests	3,377,458	1,473,511	5,912,082	2,940,440	2,968,190	1,220,454	4,792,851	2,333,220
Other comprehensive income								
Losses from translating the financial statements of foreign operations	(417,559)	(461,607)	(163,375)	(449,739)	-	-	-	-
Fair value changes in equity investments	-	-	-	-	-	-	-	-
Revaluation surplus on property and equipment	-	-	-	-	-	-	-	-
Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-
Other comprehensive income for the period net of tax	(417,559)	(461,607)	(163,375)	(449,739)	-	-	-	-
Total comprehensive income for the period	3,204,310	1,146,865	6,436,431	2,804,737	2,968,190	1,220,454	4,792,851	2,333,220
Earnings per Share (Shs per share) - basic and diluted	13.95	6.09	24.42	13.95	12.26	5.04	19.80	9.64
Dividend per Share (Shs per share)	-	-	2.50	-	-	-	2.50	-

CHAIRMAN

**Consolidated statement of changes in equity
for the six months period ended 30 June 2015**

Notes	Share capital	Share premium	Other reserves	Retained earnings	Proposed dividends	Attributable to equity holders of the Bank	Non controlling interests	Total
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
Balance at 1 January 2015	968,440	7,294,767	132,924	19,986,040	581,064	28,963,235	3,300,323	32,263,558
Comprehensive income								
Profit for the period	-	-	-	2,886,975	-	2,886,975	367,501	3,254,476
Other comprehensive income								
Translation adjustment (i)	-	-	(265,415)	-	-	(265,415)	(184,324)	(449,739)
Total comprehensive income	-	-	(265,415)	2,886,975	-	2,621,560	183,177	2,804,737
Dividends:								
- Final for 2014 paid	-	-	-	-	(581,064)	(581,064)	(25,121)	(606,185)
Balance at 30 June 2015	968,440	7,294,767	(132,491)	22,873,015	-	31,003,731	3,458,379	34,462,110

(i) The differences arise on translation of the net assets of the Group's foreign operations in Tanzania, Uganda and Burundi from their functional currency to the Group's presentation currency (Kenya shillings)

**Consolidated statement of changes in equity
for the period ended 30 June 2016**

		Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Statutory loan loss reserve Shs'000	Retained earnings Shs'000	Proposed dividend Shs'000	Attributable to equity holders of the Bank Shs'000	Non controlling interests Shs'000	Total Shs'000
Notes										
	Balance at 1 January 2016	968,440	7,294,767	(27,970)	-	25,293,925	605,275	34,134,437	4,170,951	38,305,388
	Comprehensive income									
	Profit for the period	-	-	-	-	3,377,458	-	3,377,458	244,411	3,621,869
	Other comprehensive income									
	Translation adjustment			(561,374)	-	-	-	(561,374)	143,815	(417,559)
(i)	Total comprehensive income	-	-	(561,374)	-	3,377,458	-	2,816,084	388,226	3,204,310
	Transfer to retained earnings	-	-	-	852,614	(852,614)	-	-	-	-
	Dividends:									
	- Final for 2015 paid	-	-	-	-	-	(605,275)	(605,275)	-	(605,275)
	Balance at 30 June 2016	968,440	7,294,767	(589,344)	852,614	27,818,769	-	36,345,246	4,559,177	40,904,423

(i) The differences arise on translation of the net assets of the Group's foreign operations in Tanzania, Uganda and Burundi from their functional currency to the Group's presentation currency (Kenya shillings)

Consolidated Statement of Cash Flows
for the six months period ended 30 June 2016

	Six months ended 30 June	
	2016	2015
	Shs 000	Shs 000
Net cash used in operating activities	(8,438,316)	(9,590,956)
Cash flows used in investing activities		
Purchase of property, equipment and intangible assets	(545,228)	(230,438)
Proceeds on sale of property and equipment	481	11,647
Net cash used in investing activities	<u>(544,747)</u>	<u>(218,791)</u>
Cash flows (used in)/generated from financing activities		
Proceeds from longterm borrowing	-	6,646,074
Repayment of longterm borrowing	(1,624,378)	(473,761)
Finance costs	(475,571)	(204,375)
Proceeds from right issue	244,178	-
Dividends paid to equity holders of the bank	(605,275)	(581,064)
Dividends paid to non controlling interests	(41,150)	(25,121)
Net cash (used in)/ generated from financing activities	<u>(2,502,197)</u>	<u>5,361,753</u>
Net decrease in cash and cash equivalents	(11,485,259)	(4,447,994)
Cash and cash equivalents at start of the period	13,978,726	17,777,150
Translation difference	719,990	649,570
Cash and cash equivalents at the end of period	<u>3,213,457</u>	<u>13,978,726</u>